

FIX THE **ENGINE** BEFORE YOU GROW THE BODY

PopCart PH: A 12-Month Growth Strategy Led by Operations

LAMBO 2026 · Qualifying Case · [School Name] · [Team Name]

EXECUTIVE SUMMARY

Stop a ₱7.35M profit leak first — then earn the right to expand.

THE LEAK YOU CAN'T SEE

Stockouts are PopCart's biggest silent profit killer.

💧 **₱7.35M/year** lost in gross profit from stockouts alone.

⚠️ **68%** of net profit is leaking every year.

🕒 Best-sellers (like Freeze-Dried Candy) are out of stock **11 days/month**.

"You see the empty shelf — never the pesos walking out the door."



THREE NUMBERS **FORCE THE STRATEGY**



68% OF PROFIT

Lost to stockouts each year. This is the "low-hanging fruit" — the cheapest and highest-return leak to close.



₱2.4M VS ₱9M

A hub's shipping savings vs its yearly running cost. Shipping is the biggest cost, but the cure costs more than the disease.



9% NET MARGIN

Margin is too thin to afford aggressive expansion that fails. We must maximize the **FLOOR**, not the ceiling.

DON'T BUILD ON RENTED LAND

90% of sales depend on TikTok

While TikTok Shop is our growth engine, it is also our biggest risk. A single algorithm change could cripple revenue overnight.

- **TikTok Shop = Rented Land:** Landlord can change the rent or locks at any time.
- **Own Webstore = Your Lot:** Small and cheap to build, but nobody can evict you.

Strategic Hedge: Launch own webstore by Month 6.



ONLY ONE BET CAN'T LOSE

Comparison of recurring Net Profit per year (Worst → Best case scenarios).



The Decision Rule: On a 9% margin, we prioritize stability. Fix Ops is the only option that keeps the floor positive in every scenario.

THE 12-MONTH STRATEGY

Earn the right to expand — Asset-light and Phased.

THE REORDER CONTROL SYSTEM



1. INGEST

Auto-export TikTok API data to a Central Hub (Google Sheets/Airtable).



2. FORECAST

Weighted 7/14/28-day demand + Viral Multiplier index.



3. COMPUTE

Reorder Point =
 $(\text{Forecast/day} \times \text{Lead Time}) + \text{Safety Stock}$.



4. ALERT

Morning Dashboard flags SKUs hitting the "Low-Fuel" light.

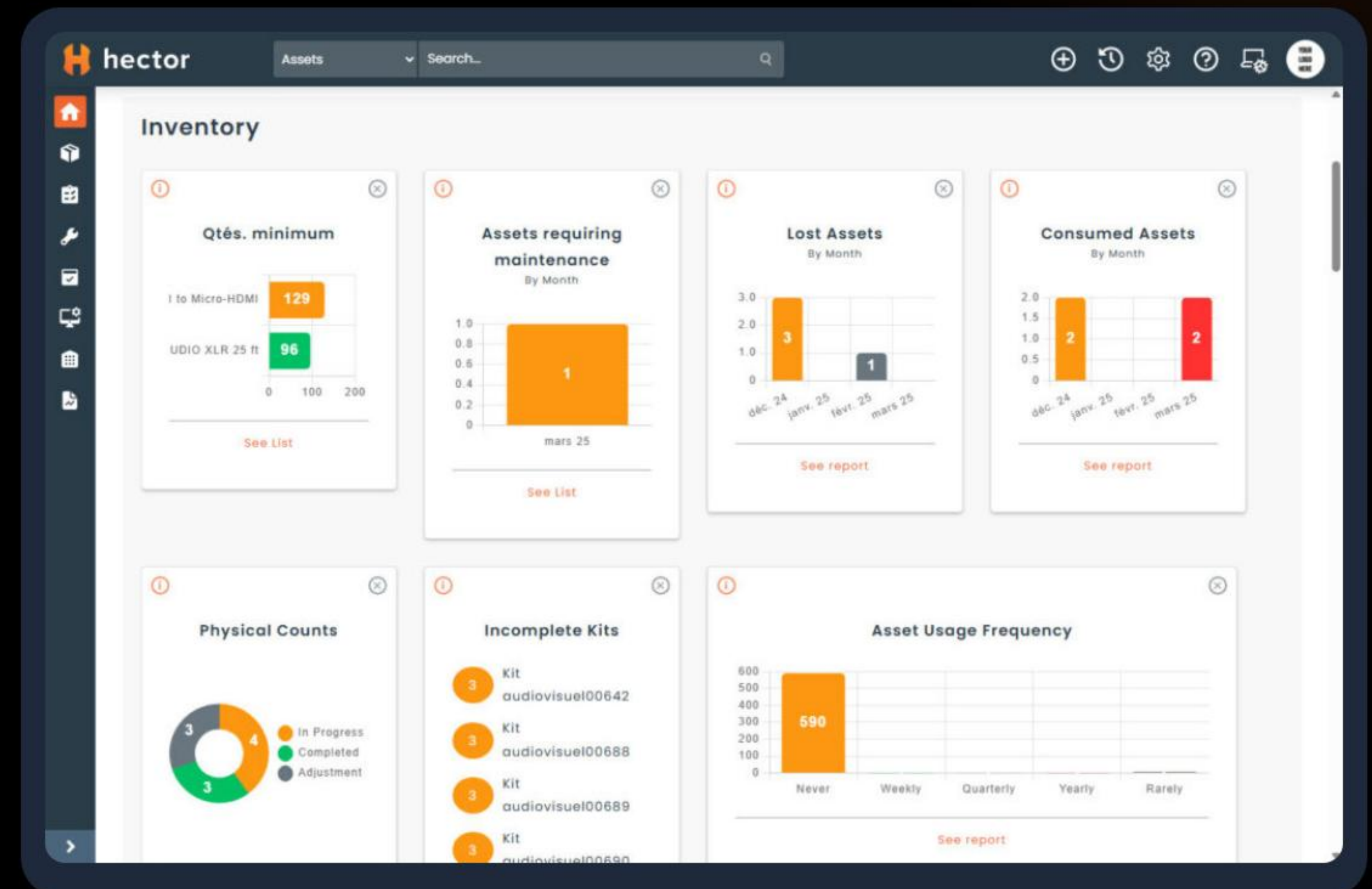
"GPS, not a self-driving car — it warns, the founder still drives."

THE MORNING DASHBOARD

Actionable Insights for Founders

A 3-person team can run this system. It replaces "gut-feel" ordering with data-driven precision.

- **Red-Flag List:** SKUs to reorder TODAY.
- **Profit at Risk:** Real-time valuation of stockout costs.
- **Viral Monitor:** TikTok engagement spikes alert us *before* sales surge.



VALUING RECOVERY HONESTLY

Gross Sales vs. Take-home Pay

Judges trust teams that discount their own upside. We value recovery at a conservative **30% Contribution Margin**, not 50% Gross.

$\text{₱180 (Price)} - \text{₱90 (COGS)} - \text{₱9 (Fees)} - \text{₱27 (Shipping)} = \text{₱54 (Take-home)}$

Freeze-Dried Candy

₱3.56M Loss

Spicy Korean Ramen

₱2.30M Loss

Choco Crunch

₱1.01M Loss

Gross Profit Lost to Stockouts per Year

FARMING FOR THE FUTURE

13-20

MONTH PAYBACK PERIOD

Why a payback past 12 months is farming, not gambling.

Investment Cycle

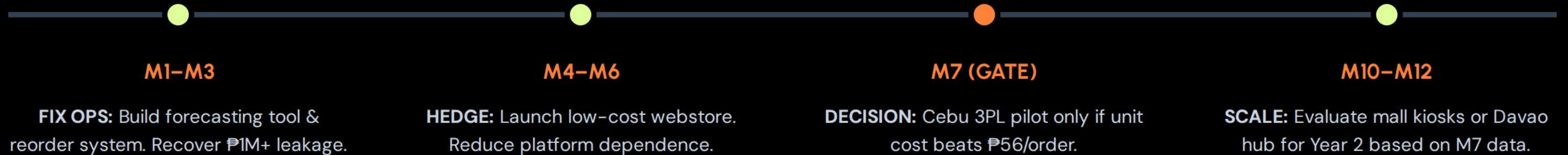
YEAR 1: PLANT

-₱0.67M cash (setup + build). We build the infrastructure and baseline data.

YEAR 2: HARVEST

+₱1.0–1.6M/year in recurring net profit. The engine is tuned for expansion.

12-MONTH ROADMAP



RISK & MITIGATION

MAJOR RISK	CHEAP, SPECIFIC MITIGATION
Staff won't adopt tool	Use low-code (Sheets/Airtable) + training vs. complex software.
Channel Shock (TikTok)	Low-cost Own Webstore hedge live by Month 6.
Cebu Hub under-utilized	Deferred behind a 3PL unit-economics gate; No fixed rent/Capex.
Long Lead Times (Ramen)	Pre-order viral SKUs early; onboard 2nd supplier.

EXPECTED IMPACT

~6

Stockout Days/Mo

Down from 11 (45% reduction)

2hrs

Inventory Updates

Faster than 2x daily manual

10%

Net Profit Margin

Targeting 10-13% in Year 2

PopCart doesn't need to bet the margin to grow — it needs to **stop the leak**, then let the data point the way.

Q&A

"The fuel light warns early. Don't run out of snacks."

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APPENDIX: AI DISCLOSURE

TOOL	WHERE WE USED IT
Gemini / Claude / ChatGPT	Structured exhibits; ranked money leaks; drafted copy; red-teamed strategy.
Python (w/ AI help)	popcart_model.py — Scenarios & Payback logic; build_prototype.py.
Google Trends	Market context on TikTok Shop PH & snack e-commerce trends for 2026.
HTML/CSS (via AI)	Automated generation of this presentation deck for pitch-readiness.

"AI was an analytical partner. Every figure verified against case exhibits. No output was presented as fact without human checking."

EARN THE GROWTH.

"Success isn't found in the newest hub, but in the precision of the shelf."



IMAGE SOURCES



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